

Asia rates: Some caution still warranted

... but avoid too much momentum chasing.

On 30 June we said *Asia rates are likely to stabilize after the rally following the interim Iran deal* and slightly lean towards the pay side. The two reasons behind this view include: 1) a more hawkish June FOMC and 2) oil prices will likely retain some geopolitical term premium despite the interim US-Iran deal.

Fast forward two weeks and we think the stance is still valid. On US rates, the key focus is on tonight's June CPI data release. But with the market clearly already pricing hikes (~52bp until March 2027) and Fed officials having not pushed back much against this pricing, we think the asymmetry still lies more towards a strong print and higher rates. On an oil price move, we are still of the view that some premium needs to be priced in. But we will avoid too much extrapolation, as there is also the risk of the market moving to price in a more meaningful re-escalation and then Trump moving to de-escalate.

Overall, our approach remains to receive in markets where rates are significantly above their levels before the Iran war started (like Korea) and pay those that have risen relatively less in the past few months (Taiwan and India to some extent) (Figure 1).

Still expect some Korea outperformance – Receive Sep-5y KRW vs TWD

We currently have **receive Sep-5y Korea vs Taiwan** with a conviction level of 4/5. Over the past couple of weeks the spread has stopped widening, but it has also not meaningfully retraced. The key focus is on this Thursday's BOK meeting and whether it will out-hawk market pricing. While there are a few well-documented factors (an upward revision to the growth and inflation forecasts, windfall tax redistribution and property price rises etc) that can support higher rates, the belly of curve (using 2y fwd 3y at 4.22% as a reference) is again back to similar levels as in Q4 2022, when CPI inflation was running close to 6% (Figure 2). We still think it is likely that the recent consolidation lower in KOSPI and USD/KRW reduces the likelihood of a very hawkish message this Thursday.

On Taiwan, CBC governor Yang has maintained a fairly neutral tone in his latest testimony to the Legislature despite above-consensus June CPI inflation of 2.60%. That said, with GDP growth still running at an over 10% pace, the curve could steepen even if the CBC stays on hold. At the minimum, liquidity is tightening as the latest 1y and 2y CBC NCD auction yields have gone up 25bp and 30bp, respectively since April.

Maintain pay Sep-5y India NDOIS

The initial rationale is more to position for a tactical yield rebound ahead of the 200-day moving average level, after yields dropped significantly with lower oil prices, potential FCNR flows and bond index inclusion. The overnight rebound in oil prices and stronger-than-expected June CPI inflation have helped the position. But given the high volatility of India rates, we hold this only with a moderate conviction level of 3/5 but still target a move to 6.50%, which would roughly be a 50% retracement of the 6.90% to 6.10% rally from late May to early July.

Thailand – Move from Sep-2s10s to 5s10s flattener, unwind extra 5y pay

For Thailand, we have been recommending a Sep-2s10s flattener to try to position for lower fiscal term premium with the curve already steep and S&P having reaffirmed Thailand's sovereign rating with a stable outlook a few weeks ago. The problem is a DV01 neutral 2s10s flattener works similar to a low-beta receive, hence, we needed to offset that risk by paying 50% DV01 of Sep-5y NDIRS. Still, with 1y1y NDIRS back to 1.5% and the BOT unlikely to hike soon, room for the 2y point to go up further appears limited. Hence, we decided to **switch the Sep-2s10s flattener to Sep-5s10s** (current levels 77bp and 41bp, respectively), with a conviction level of 3/5, while removing the extra Sep-5y pay (current level 1.726%).

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Asia Rates Strategy

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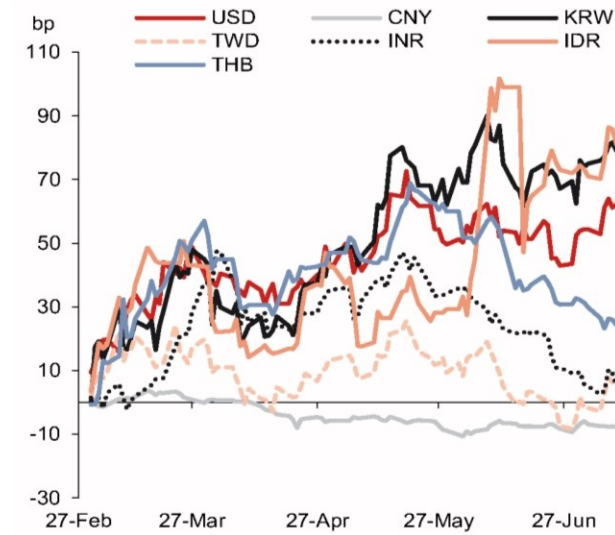
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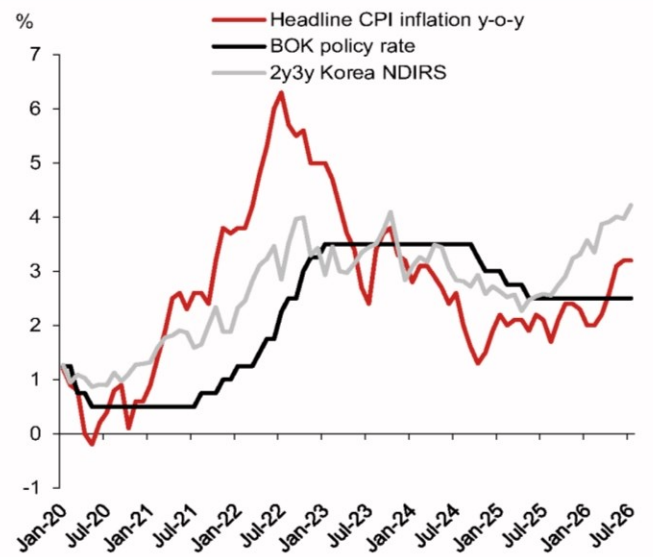
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Fig. 1: Change in 10y rates since US-Iran war

Note: We use 10y swap rate for Taiwan and 10y government bond yields for all other markets.

Source: Bloomberg, Nomura

Fig. 2: Korea inflation, policy rate and 2y fwd 3y swap

Source: Bloomberg, Nomura

Please see [Strategy portfolio update](#) (9 July 2026) for our full portfolio.

Appendix A-1

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